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For Bipartite Talks.

Japan's Future Relations with China

The joint United Kingdom/United States sponsorship of the Japanese Peace Treaty found His Majesty's Government and the United States Government broadly in accord over the future of Japan. The one major point of difference which arose, namely the question of China's relationship to the Peace Treaty, was resolved in a spirit of compromise. After considerable discussion, agreement was reached with Mr. John Foster Dulles, during his visit to London in June last, on the principle that neither the Peking Government nor the Chinese Nationalists should sign the Peace Treaty, and that the problem of Japan's future relations with China should be for Japan herself to solve in the exercise of the sovereign and independent status foreseen by the Peace Treaty, i.e. when the Treaty comes into effect.

2. But the immediate future will again bring to a head the question: "With which Government of China will Japan establish formal relations?". There has been some evidence that the Japanese Government, realising how thorny the Chinese problem is, would have liked to evade the responsibility of a decision, i.e. that they would have welcomed a situation in which United States pressure forced them into some form of recognition of the Chinese Nationalists while the Japanese could still claim that they themselves were not free agents. Our belief has been that such a development would be a mistake from the point of view of Japan's future relations with the free world. Her trade with the mainland of China is of very great importance to herself. Any political step by Japan in regard to China, (such as some formal recognition of Chiang Kai Shek) which might prejudice her economic relations with Communist China, should only be taken on the clear initiative of Japan herself; otherwise it would always be /

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be possible for Japanese nationalists to argue in future that it was the Western Allies who had forced Japan, in spite of herself, to slam the door on her economic relations with the Chinese mainland. Such an argument might well assist an alignment of nationalist and communist forces in Japan.

3. Mr. Dulles and the State Department have expressed agreement with the soundness of this argument, and we believe them to be sincere. We know, however, that there are influences among the United States military, both in Washington and Tokyo, which would like to see Japan in formal relationship with the Chinese Nationalists as soon as possible. There has also been some recent evidence to the effect that there may be difficulty over the ratification of the Peace Treaty by the United States Senate unless Japan has meanwhile assumed some such formal relationship with the Nationalists.

4. Japan's trade relations with Formosa, where she has recently set up an Overseas Agency, are of some importance. (The Chinese Nationalists are represented in Tokyo by a Mission accredited to the Supreme Commander). Our view has been that Japan should leave matters there, that she should refrain from any action recognising the Nationalists as the Government either of China, or of Formosa, until the Peace Treaty comes into force, and that, even after this, Japan's best interests would be served by sitting on the fence and maintaining her trade contacts both with the mainland of China and with Formosa.

5. Sir E. Dening has made this point informally in Tokyo, both with the Japanese Prime Minister and with Mr. Sebald, the U.S. Political Adviser, without getting any very positive reaction from either. In view of the doubts about U.S. policy referred to in paragraph 3 above, it would be valuable if we could

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confirm that the United States Government still agree with our view. It would be a great pity if, before Japan has even emerged from the tutelage of the Occupation, we and the Americans should start speaking to her with two different voices, and thus giving the Japanese a chance to resume the game of playing us and the Americans off against each other for which they showed such inclination and aptitude in the years immediately before the war.

31st October, 1951.

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